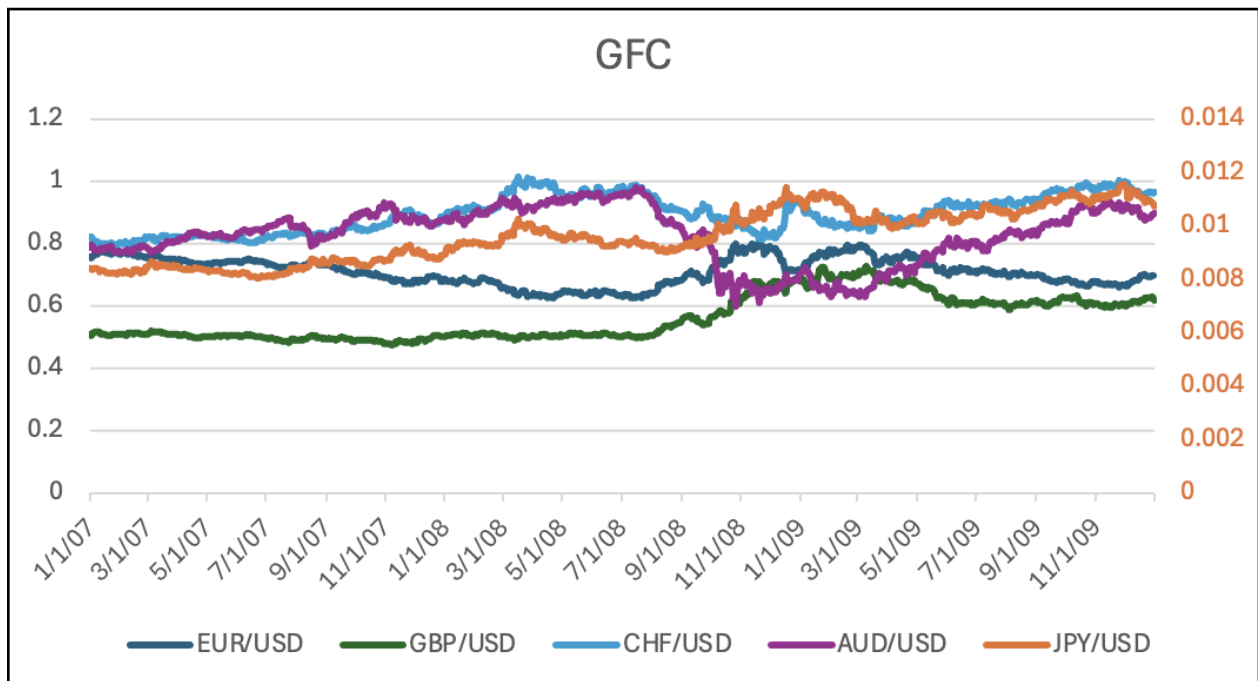


Data Commentary

James Evans

08/26/2025

Global Financial Crisis



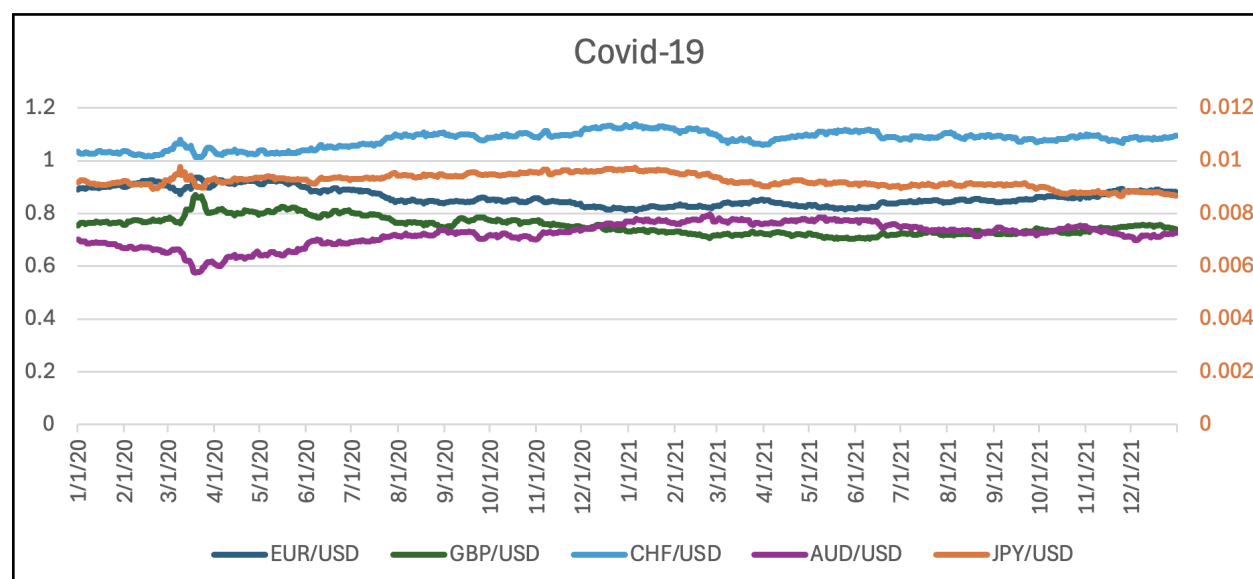
FX Levels

- **Euro (EUR/USD):** The rate fell from 0.7575 on January 1, 2007 to 0.6983 on December 31, 2009, a decline of 7.8%. Since one dollar cost fewer euros at the end, the euro became stronger relative to the U.S. dollar.
- **Japanese yen (JPY/USD):** The rate rose from 0.0084 to 0.0108, an increase of 27.9%. Since one dollar cost more yen at the end, the yen became weaker relative to the U.S. dollar.
- **Swiss franc (CHF/USD):** The rate rose from 0.8205 to 0.9660, an increase of 17.7%. Since one dollar cost more francs at the end, the franc became weaker relative to the U.S. dollar.
- **British pound (GBP/USD):** The rate rose from 0.5104 to 0.6184, an increase of 21.2%. Since one dollar cost more pounds at the end, the pound became weaker relative to the U.S. dollar.
- **Australian dollar (AUD/USD):** The rate rose from 0.7894 to 0.8977, an increase of 13.7%. Since one dollar cost more Australian dollars at the end, the Australian dollar became weaker relative to the U.S. dollar.

Interpretation

These exchange rate movements during the Global Financial Crisis reflect a flight-to-quality dynamic and sharp differentiation across currencies. The euro strengthened moderately against the dollar, falling from 0.7575 to 0.6983 (a 7.8% decline in EUR/USD), consistent with its role as the second reserve currency. By contrast, the Japanese yen, Swiss franc, British pound, and Australian dollar all weakened relative to the dollar. The yen (JPY/USD) rose by 27.9%, the franc (CHF/USD) by 17.7%, the pound (GBP/USD) by 21.2%, and the Australian dollar (AUD/USD) by 13.7%, meaning that one dollar bought significantly more of each of these currencies by the end of the crisis. This pattern illustrates that while the euro retained some resilience, the broader system was characterized by reduced autonomy: most currencies moved in the same direction against the dollar as global funding pressures intensified. This synchronization of movements is consistent with Proposition 2, which predicts that crises amplify co-movement by raising common factor volatility and compressing cross-currency autonomy.

COVID



FX Levels

- **Euro (EUR/USD):** The rate fell from 0.8919 on January 1, 2020 to 0.8795 on December 31, 2021, a decline of 1.4%. Since one dollar cost *fewer* euros at the end, the euro became *stronger* relative to the U.S. dollar.
- **Japanese yen (JPY/USD):** The rate fell from 0.0092 to 0.0087, a decline of 5.5%. Since one dollar cost *fewer* yen at the end, the yen became *stronger* relative to the U.S. dollar.
- **British pound (GBP/USD):** The rate fell from 0.7545 to 0.7390, a decline of 2.1%. Since one dollar cost *fewer* pounds at the end, the pound became *stronger* relative to the U.S. dollar.
- **Swiss franc (CHF/USD):** The rate rose from 1.0341 to 1.0954, an increase of 5.9%. Since one dollar cost *more* francs at the end, the Swiss franc became *weaker* relative to the U.S. dollar.
- **Australian dollar (AUD/USD):** The rate rose from 0.7017 to 0.7263, an increase of 3.5%. Since one dollar cost *more* Australian dollars at the end, the Australian dollar became *weaker* relative to the U.S. dollar.

Interpretation

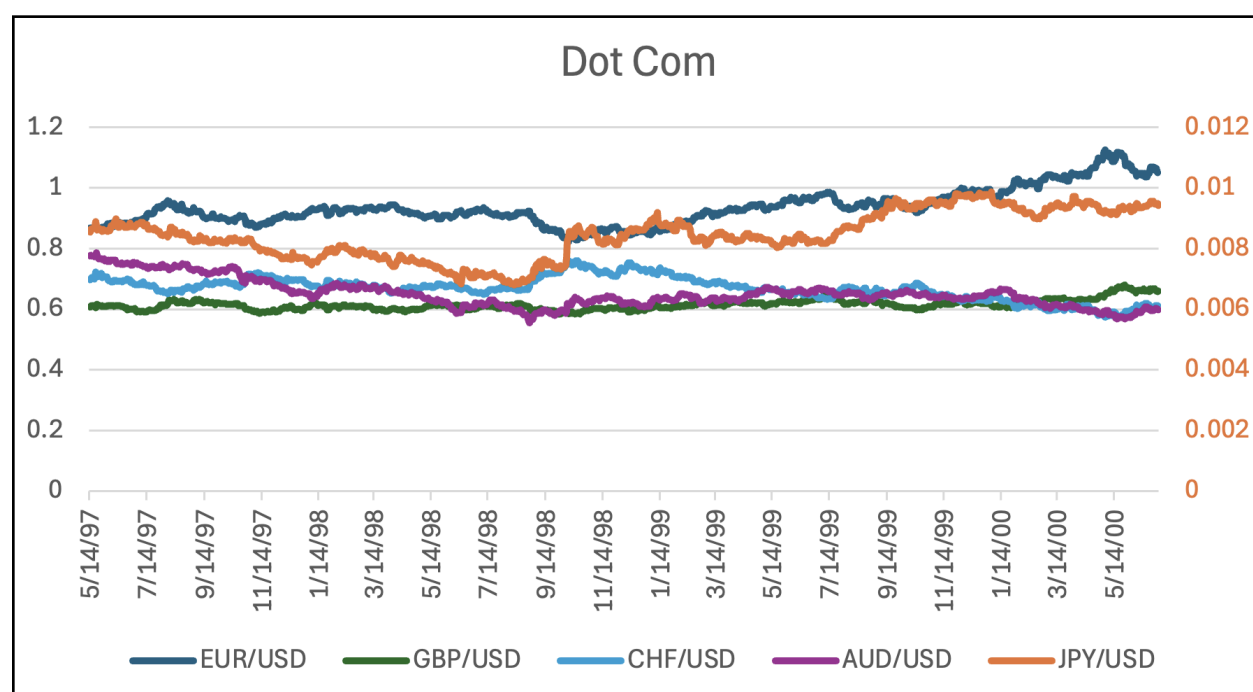
These exchange rate movements during 2020–2021 reveal a more muted pattern of co-movement compared to the Global Financial Crisis. The euro (EUR/USD), yen (JPY/USD), and pound (GBP/USD) all strengthened modestly against the dollar, while the Swiss franc (CHF/USD) and Australian dollar (AUD/USD) weakened. This divergence across major currencies indicates that autonomy was less compressed during the COVID-19 crisis than during the GFC, when nearly all currencies moved sharply in the same direction against the dollar.

According to Proposition 2, crises tend to amplify co-movement by increasing global factor volatility and reducing cross-currency autonomy. The results here suggest that while autonomy was reduced, the compression was less severe than in 2007–2009. One likely reason is that the COVID-19 shock was not purely financial in origin: it was also a health and supply-chain crisis, generating heterogeneous impacts across economies. Safe-haven demand supported the euro and yen, while commodity exposure and risk sensitivity weighed on the Australian dollar. The Swiss franc’s weakening, contrary to its traditional safe-haven status, reflects idiosyncratic factors, including euro area spillovers and the Swiss National Bank’s policy stance.

The Swiss franc behaved less like a classic safe-haven during 2020–2021 than in the GFC. A key reason was the Swiss National Bank’s (SNB) active intervention to curb franc appreciation. Large-scale foreign asset purchases were used to offset safe-haven inflows, leading the U.S. Treasury to place Switzerland on its currency manipulation watchlist in late 2020. These interventions, combined with the franc’s close linkages to the euro area, muted its appreciation and explain why the franc weakened modestly against the dollar despite global risk aversion.

Overall, the evidence shows that the COVID-19 crisis produced less synchronized exchange rate movements than the GFC, illustrating a partial but not complete dominance of common global factors. This highlights that the extent of autonomy compression is crisis-specific, depending on the nature of the shock and the channels through which global stress is transmitted.

Dot Com



FX Levels

- **Euro (EUR/USD):** The rate rose from 0.8683 on May 14, 1997 to 1.0499 on June 30, 2000, an increase of 20.9%. Since one dollar cost more euros at the end, the euro became *weaker* relative to the U.S. dollar.
- **Japanese yen (JPY/USD):** The rate rose from 0.0085 to 0.0094, an increase of 10.3%. Since one dollar cost more yen at the end, the yen became *weaker* relative to the U.S. dollar.
- **British pound (GBP/USD):** The rate fell from 0.6074 to 0.6605, an increase of 8.7%. Since one dollar cost more pounds at the end, the pound became *weaker* relative to the U.S. dollar.
- **Swiss franc (CHF/USD):** The rate fell from 0.6965 to 0.6119, a decline of 12.1%. Since one dollar cost fewer francs at the end, the Swiss franc became *stronger* relative to the U.S. dollar.
- **Australian dollar (AUD/USD):** The rate fell from 0.7756 to 0.5974, a decline of 23.0%. Since one dollar cost more Australian dollars at the end, the Australian dollar became *weaker* relative to the U.S. dollar.

Interpretation

These exchange rate movements during the Dot-Com episode (1997–2000) display a high degree of co-movement across major currencies, much like the Global Financial Crisis. The euro, yen, pound, and Australian dollar all weakened against the U.S. dollar, while only the Swiss franc strengthened. This broad synchronization reflects reduced autonomy and the dominance of common factors, consistent with Proposition 2, which predicts that crises amplify global factor volatility and compress currency-specific independence.

The divergence in which currency resisted the dollar differs across crises. In the GFC, the euro was the only major currency to strengthen modestly against the dollar, while in the Dot-Com episode it was the Swiss franc that appreciated. This reflects differences in the nature of the shocks. The late 1990s were defined by U.S. economic outperformance and capital inflows into technology and equity markets, which supported broad dollar strength. The franc appreciated as investors sought a traditional safe-haven asset.

By contrast, during the GFC, the euro displayed relative resilience as the second reserve currency, while the franc, pound, yen, and Australian dollar all depreciated sharply. In the COVID-19 period, autonomy was less compressed: movements were more heterogeneous, with the euro, yen, and pound strengthening while the franc and Australian dollar weakened.